

Chapter 3

“Blockchain, Not Bitcoin?”

In drawing a line between public and private blockchains, we have entered contentious territory that the innovative investor should understand. The difference between these two types of blockchains and the groups that support them is full of tension, because the two camps have different goals for the technology. At the risk of overgeneralizing, private blockchains are backed by incumbents in their respective industries, while public blockchains are backed by the disruptors.

To round out the context within which the innovative investor approaches cryptoassets, it's important to understand how the world evolved beyond a single blockchain—Bitcoin's blockchain—to include public and private blockchains. Otherwise, investors may be confused when they hear someone claim that Bitcoin is no longer relevant or that it's been displaced. Neither of these claims is true, but it's nonetheless helpful to understand the motivations and rationale behind those that say they are.